

**Before the
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-20

**INTERNATIONAL EXPRESS TRUCKING, INC.
v.
COSCO SHIPPING LINES CO., LTD. AND
COSCO SHIPPING (NORTH AMERICA), INC. AS AGENT
FOR COSCO SHIPPING LINES CO., LTD.**

CSLNA REPLY TO COMPLAINANT’S OPPOSITION TO MOTION TO DISMISS

COSCO Shipping Line (North America) Inc. (“CSLNA”)¹ hereby replies to Complainant’s June 27, 2024 opposition (“Opposition”) to CSLNA’s motion to dismiss the complaint. Complainant’s filing can only be described as disingenuous. Among other things, Complainant fails to even mention critical cases raised by CSLNA, contrary to Counsel’s duty of candor toward the tribunal, pretends not to understand simple English, makes facetious claims for the sole purpose of embarrassing CSLNA Counsel, and violates the Commission’s Rules by seeking relief in a responsive brief, rather than by motion.

ARGUMENT

1. CSLNA is not an ocean common carrier

CSLNA is not an ocean common carrier subject to regulation by the Federal Maritime Commission (“Commission” or “FMC”). It is thus unclear why Complainant named it as a

¹ Although the proper short name for COSCO Shipping Line (North America) Inc. is “CSLNA,” we are fine with Complainant using either “COSCO America,” as it did in the Complaint, or “COSCO N.A.,” as it did in the Opposition. But it is confusing to use them both, so we encourage Complainant to settle on a consistent form of reference.

Respondent, given the FMC's lack of personal jurisdiction over CSLNA, its lack of subject matter jurisdiction over claims against CSLNA and the fact that the Complaint does not allege any facts to suggest that CSLNA, as opposed to COSCO, violated the Shipping Act. There are absolutely no allegations asserting actions or omissions by CSLNA that could possibly be deemed to support a violation by CSLNA.² The Opposition effectively admits that CSLNA is not an ocean common carrier, as it makes no argument to the contrary and specifically disclaims that any allegation in the Complaint suggests that CSLNA is an ocean common carrier. Accordingly, the proposition that CSLNA is not an ocean common carrier must be taken as established.³

2. The Commission does not have Personal Jurisdiction over CLSNA

The Complaint alleges that the FMC has personal jurisdiction over COSCO [Compl. ¶5.] but makes no such claim as to CSLNA. That alone should be dispositive.

Further, the Opposition fails to mention, much less address, important cases cited by CSLNA adverse to Complainant's position. This struthious evasion violates the duty of candor to the tribunal set out in Model Rule 3.3 of the ABA's Model Rules of Professional Conduct, made applicable to attorneys before the FMC by Rule 26 (46 C.F.R. 502.26). As Comment 4 to that Rule (emphasis added) states, a "lawyer is not required to make a disinterested exposition of the law, *but must recognize the existence of pertinent legal authorities.*"

² Given this, Respondent CSLNA should likely have also moved to dismiss based on Complainant's failure to state a claim against CSLNA. We will not of course press that issue here, but reserve the right to do so later, if necessary.

³ The Opposition obfuscates over the statement in the Opposition that: "The Complaint alleges only that CSLNA is ocean common carrier," pretending not to know that, in context, the clear meaning of the statement was that Complainant had not alleged that CSLNA is another type of regulated entity – i.e., an NVOCC, MTO, or OFF. As noted above, the Opposition concedes not only that CSLNA is none of those, but also that it is not an ocean common carrier.

Among the pertinent, indeed critical, legal authorities ignored by Complaint is *OJ Commerce, LLC v. Hamburg Sud*, Docket 21-11, 6 FMC 2d 165, 189-91 (I.D. 2023), which reached a result directly contrary to what Complainant argues in its Opposition. There, as detailed in the Motion, Chief Administrative Law Judge Wirth granted relief virtually identical to that sought by CSLNA here, under similar circumstances. There, as here, the complainant argued that jurisdiction might be found based on the cooperation between the two entities:

“OJC asserts that the FMC has jurisdiction over HSNA because it is a “person” subject to regulation by the FMC based on its acts in conjunction with HSDG”

.. . . .

The evidence shows that HSNA was a wholly-owned subsidiary of HSDG that acted as the United States general agent of HSDG.” *Id.* at 190.

Chief Judge Wirth rejected this argument, stating:

“Commission decisions considering the “other person” language have found that the language “either alone or in conjunction with any other person” does not extend section 41104’s prohibitions to new classes of persons, rather it clarifies that an ocean carrier cannot excuse its prohibited conduct on the basis that it did not commit the conduct alone.” *Id.* at 191.

And she concluded:

“HSNA is not a regulated entity under this section, but rather is an “other person” with whom HSDG operated. Moreover, here, HSNA was acting as an agent of a disclosed principal,⁴ and such agents are typically not liable for the acts of their principal. 12 Williston on Contracts § 35:34 (4th ed.); *Landstar Express America, Inc. v. FMC*, 569 F.3d 493, 497 (D.C. Cir. 2009). Accordingly, OJC has not established that HSNA is an entity regulated by section 41104(a)(10). Therefore, the allegations against HSNA are denied.”

⁴ Complainant does not, and could not, allege that COSCO was an undisclosed principal.

Likewise, in *Hapag-Lloyd, A.G. and Hapag-Lloyd (Am.) LLC -- Possible Violations of 46 § 41102(c)*, 4 F.M.C. 2d 53, 75 (I.D. 2022), Chief Judge Wirth dismissed Hapag-Lloyd America on the ground that it was operating as the agent of a disclosed principal, Hapag-Lloyd A.G.

Complainant's Opposition does not even mention, much less seek to distinguish or argue against, Chief Judge Wirth's ruling in *OJ Commerce*, even though the case is on all fours with the instant matter. Rather, it maintains radio silence.

Complainant gives the same silent treatment to a decision of the United States Court of Appeals for the District of Columbia (where this case may well end up), even though it was cited by Chief Judge Wirth in the quotation above and addressed in the Motion -- *Landstar Express America, Inc. v. FMC*, 569 F.3d 493 (D.C. Cir. 2009). In *Landstar*, the D.C. Circuit reversed a Commission decision holding that the FMC had regulatory authority over agents of common carriers, because such regulation was necessary to fully effectuate the Commission's regulatory authority over common carriers and was consistent with the "remedial purposes" of the Shipping Act. Then-Judge Kavanaugh led off with the following, axiomatic statement: "This case illustrates the basic rule-of-law maxim that statutory text binds federal agencies." *Id.* He then explained:

"We have previously held that where the Shipping Act includes a precise definition, "the limits of the Commission's jurisdiction to regulate carriers under [the Act] must necessarily depend upon the meaning and interpretation of the [statutory] definition." *Austasia Intermodal Lines, Ltd. v. FMC*, 580 F.2d 642, 644 (D.C. Cir. 1978). In *Austasia*, the relevant Shipping Act provision required "every common carrier" to file certain tariffs with the Commission. *Id.* Because the Commission had imposed tariff filing requirements on a carrier that did not meet that statutory definition, we explained that the Commission had exceeded its authority. *Id.* at 646." 569 F.3d at 496–97.

He then concluded:

“An agent providing NVOCC services on behalf of a disclosed NVOCC principal possesses neither of those two defining characteristics of an NVOCC. An agent acting on behalf of a disclosed NVOCC principal does not hold *itself* out to the general public to provide transportation because it holds out only *in the name of the NVOCC*, subject to that NVOCCs control.

. . . .

[A] an agent of an NVOCC by definition is not a "common carrier," and thus not an "NVOCC" as described in the Act.

. . . .

Agents providing NVOCC services for licensed NVOCC principals are not NVOCCs (or OFFs) solely by virtue of being agents of NVOCCs. They therefore fall outside the coverage of the statute's licensing requirement. The Commission lacks authority to compel those agents to obtain licenses.” Id. at 500 (emphasis in original).

Complainant fails to address those (and other) cases, but instead asserts that CSLNA is properly a respondent by reason of “pendent jurisdiction.” But even if the Commission did have authority to assert pendent jurisdiction, which we show below it does not, Complainant does not assert any such pendent jurisdiction in the Complaint and makes no attempt in the Opposition to show *why* the Presiding Officer should take pendent jurisdiction over CSLNA. Pendent jurisdiction in the courts is a matter of ***judicial discretion***, not an automatic right of a complainant. As the Supreme Court explained in *United Mine Workers of America v. Gibbs*, 383 U.S. 715, 726 (1966)(emphasis added): “It has consistently been recognized that pendent jurisdiction is ***a doctrine of discretion***, not of plaintiff's right.”

As Complainant bears the burden of proving jurisdiction, there is no need for CSLNA to show why it would not be appropriate for the Presiding Officer to exercise such jurisdiction. But it takes little to understand the added cost and complexity of litigating for two parties rather than

one, the headquarters of which are on different continents. COSCO is of course responsible for actions of its agents, so any activities of CSLNA may be ascribed to COSCO in determining whether violations exist. And any relief that might be ordered (although there are no grounds for such) will apply to CSLNA through COSCO. Thus, even if pendent jurisdiction was authorized by Congress, which it was not, there is no reason to subject CSLNA to that burden.

In any event, the claim that the FMC has the power of pendent jurisdiction is obviously flawed. Even if the Presiding Officer were to accept pendent jurisdiction in this matter, which he should not, such action would not likely survive judicial review, especially now that the *Chevron* doctrine has been rejected. *Loper v. Raimondo*, 603 U.S. ___, Slip op. at 15 (June 28, 2024).

The decision to accept pendent jurisdiction in *TCW* was based purely on the fact that the federal courts have discretion to exercise pendent jurisdiction. *TCW, Inc., v. Evergreen Shipping Agency (America) Corporation, & Evergreen Line Joint Service Agreement*, 2021 WL 794708 (I.D. 2021), *aff'd* 2022 WL 18068977 (FMC 2022). There was no analysis of the critical question whether the source of authority applicable to the federal courts also applies to administrative agencies such as the FMC. As we demonstrate below, it does not.

The authority under which federal courts exercise pendent jurisdiction is not an inherent judicial power, but rather comes from an ***express statute***, enacted by Congress -- 28 U.S.C. § 1367.⁵ That statute applies by its terms only to the federal courts and thus provides no authority to administrative agencies such as the FMC. The FMC is not a court, but a creature of the

⁵ The Commission has sometimes suggested that the Federal Rules of Civil Procedure authorize it to take actions not specified in the Shipping Act. But even assuming that to be the case, the power to exercise pendent jurisdiction does not come from the FRCP, but from an entirely separate statute that does not refer to administrative agencies.

Shipping Act. Accordingly, the Commission may not assume authority not specified in the Shipping Act, as the D.C. Circuit held in *Landstar*.

The Commission and the federal courts have repeatedly recognized that the FMC is not a court and does not possess authority granted to courts but not specifically given to the Commission. In *International Association of NVOCCs v. Atlantic Container Line*, 25 SRR 734, 743 (1990), for example, the FMC explained:

“The Commission ‘*is not a court*, and cannot rely on the powers of a court of equity. On the contrary, the law is settled that an administrative agency can exercise only those powers conferred upon it by Congress.” (Emphasis added, quoting in part from *TransPacific Freight Conference of Japan v. FMB*, 302 F.2d 875, 880 (D.C. Cir. 1962) (Commission is not a court and has no power to issue interim injunctions)).⁶

Likewise, in *COSCO v. DMV Ridgeview, Inc.*, 1991 WL 383093, at *5 (ALJ, Admin. Final)(emphasis added), the ALJ referred to “the basic doctrine that this Commission is *not* a court of general jurisdiction. Rather it is an administrative agency, which is limited by the

⁶ To like effect, see *Turner v. FCC*, 514 F.2d 1354 (D.C. Cir. 1975) (agencies do not have judicial power to award attorney’s fees based on common law exceptions to the American rule). In *BANFI Products Corporation, et al. -- Possible Violations Of Section 16, Initial Paragraph, Of The Shipping Act, 1916, and Section 10(A) (1) Of The Shipping Act Of 1984*, Docket No. 87-14, 1992 FMC LEXIS 63 *5-6 (FMC 1992) (emphasis added), the Commission specifically endorsed an ALJ’s decision to modify a subpoena to reflect the FMC’s limited authority. stating:

“The Commission is well aware of the difficulties faced by Hearing Counsel in investigating activities alleged to have taken place overseas. . . . But even if the subpoenas were reinstated as originally drafted, the Commission could not compel Dr. Rivella to comply with them by travelling to the United States again. Geography aside, the Commission is *not a court of general jurisdiction* with contempt powers.”

powers Congress granted to it in the statutes it administers.” In *European Trade Specialists, Inc. v. Prudential-Grace Lines*, 16 S.R.R. 1031, 1035 (1976), the FMC stated: “this Commission does not exercise the authority of a court of law or equity.” And in *Application of Gulf European Freight Association and Sea-Land Corporation for the Benefit of Arthur J. Fritz & Co.*, 1986 WL 170036 at *4 (FMC 1986) the Commission held:

“The Commission's waiver/refund authority under section 8(e) of the 1984 Act does not apply here and we have no power to act purely as a court of equity. That the shipper may have suffered detriment is unfortunate but, as the Commission has held before, does not create a remedy where none otherwise exists.”

Complainant does not cite a single additional case for the proposition that the FMC has jurisdiction over CLSNA, so there is nothing else to which we need respond on that score. We note, however, that Complainant does mention in a different context the FMC proceeding in Docket No. 21-17, *Ocean Network Express*. Docket No. 21-17, *Ocean Network Express Pte. Ltd. and Ocean Network Express (North America), Inc. – Possible Violations of 46 U.S.C. § 41102(c)*, 2022 WL 602648 (Order Denying Motion to Dismiss) (ALJ 2022). In this regard, it fails to mention that ONE NA was eventually dismissed from the case for lack of personal jurisdiction, just as asserted here regarding CSLNA. Docket No. 21-17, *Ocean Network Express Pte. Ltd. and Ocean Network Express (North America), Inc. – Possible Violations of 46 U.S.C. § 41102(c)*, 2022 WL 1485900, at *7 (Order on Motions to Compel and to Dismiss)(ALJ 2022).

3. The FMC Lacks Subject Matter Jurisdiction Over the Claims Against CSLNA

Allegation 13 of the Complaint (emphasis added) states:

“Section 41102(c) of the Shipping Act (46 U.S.C. § 41102(c)) prohibits *a common carrier or marine terminal operator* from failing to ‘establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.’”

Allegation 14 states that “COSCO is an ocean common carrier as defined by the Shipping Act.” There is no equivalent statement about CSLNA. Accordingly, because 46 U.S.C. § 41102(c) by its terms does not apply to CSLNA, there is no subject matter jurisdiction over Complainant’s claim against COSCO.

4. The Motion is Addressed to the Correct Proceeding

The Opposition suggests that the Motion was filed in the wrong proceeding. We assume that is meant facetiously and for the purpose of embarrassing Counsel for Respondent CSLNA. That is fair enough, and we are duly embarrassed. In adapting a previously filed (and effectively successful) motion in another case, we were insufficiently careful in translating the facts. But the real response is so what? Complainant cannot possibly be under the illusion that the Motion is addressed to some other proceeding, especially since it knows that the issue is already resolved in that other proceeding. CSLNA filed the Motion in *this* proceeding, with the proper caption and docket number for *this* proceeding, identified the specific Complainant in *this* proceeding, and made arguments specific to *this* proceeding. Accordingly, although we are abashed by our shortcomings, Complainant’s attempt to be clever must fail.

5. The Request to Default COSCO is Improper and Wrong

Complainant suggests in its Conclusion that the fact that COSCO has not yet filed an answer separate from CSLNA should cause the Presiding Officer to deem COSCO “in default.”

Complainant’s conclusory request for relief is flatly contrary to the Commission’s Rules, which explicitly state that any request for relief (such as declaring an opposing party in default) may only be made in a written motion, hence not in a response to someone else’s motion. 46

C.F.R. 502.69(a)-(b). Complainant's attempt to hide its request for relief in the very final words of its Opposition is just another disingenuous attempt to evade the rules.

In any event, Complainant's vague suggestion that COSCO is in default is wrong. FMC Rule 62(b), 46 C.F.R. 502.62(b), states that a motion to dismiss extends the time to answer until 10 days after "service of an order denying such motion." There is nothing in Rule 62(b) stating that all respondents must join in a motion to dismiss in order to extend the answer, and Complainants cite no authority saying that they must so join. Nor does Complainant's hidden suggestion make administrative sense, especially when Complainant itself alleges that the two entities are so closely related that they may be treated as one. Given that the two COSCO entities would file a single answer, it would be silly to require COSCO to file an answer that it would then have to amend (or duplicate) if CSLNA were retained as a respondent.

CONCLUSION

For the reasons stated above and in the Motion, CSLNA should be dismissed from this proceeding.

Dated: July 3, 2024

Respectfully submitted,

/s/ Nicholas Webb

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CERTIFICATE OF SERVICE

I certify that on the 3rd day of July, 2024, a true and correct copy of the foregoing **CSLNA REPLY TO COMPLAINANT'S OPPOSITION TO MOTION TO DISMISS** was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

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